



Buy Now, Pay Later: Shaping the Future of Consumer Payments

Trends, Opportunities, and Challenges in the BNPL Market

Suhrid Barua

Introduction

Buy Now, Pay Later (BNPL) has reshaped the global consumer credit landscape by offering a convenient and flexible alternative to traditional credit cards and personal loans. Although consumers have been able to purchase in installments for decades through options like store credit and layaway programs, The modern, digital-first BNPL model emerged with the rapid expansion of e-commerce in the mid-2000s and gained strong momentum during the 2010s. Its adoption has been driven by advances in financial technology, seamless online payment integration, and increasing consumer demand for accessible short-term financing.

The modern Buy Now, Pay Later movement originated in Sweden in 2005, where Klarna pioneered the integration of flexible payment options directly into the online checkout experience. By allowing consumers to defer payments or split purchases into installments with minimal friction, Klarna demonstrated how credit could be embedded within digital commerce. This model was subsequently expanded by providers such as Affirm, Splitit, Sezzle, and PayPal, driving demand for flexible, often interest-free, point-of-sale financing.



Although adoption was steadily increasing before 2020, BNPL experienced explosive growth during the COVID-19 pandemic as online shopping surged and consumers sought alternatives to traditional credit products. The model proved effective, especially in markets with low credit card penetration, stringent lending requirements, or underserved consumer segments.

Technological innovation has been central to BNPL's success. Real-time credit decisioning, digital identity verification, open banking frameworks, AI-driven risk assessment, and mobile payment integration enabled BNPL providers to offer near-instant financing at the point of purchase. These capabilities have transformed BNPL from a niche payment option into a mainstream component of the global payment ecosystem.

Buy Now Pay Later is gaining popularity in the US

Global BNPL Market Overview

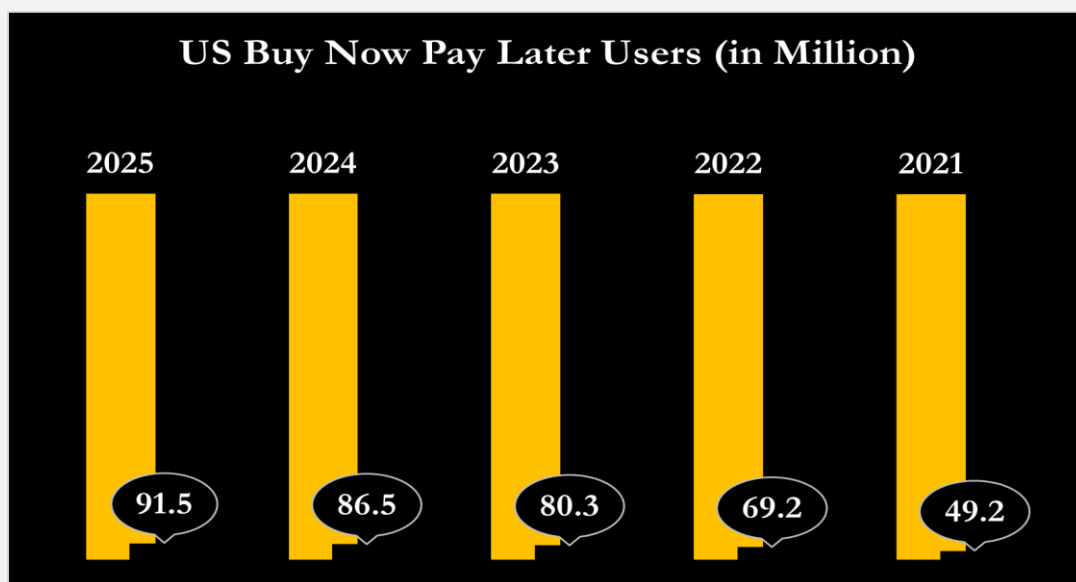
The U.S. is the largest single BNPL market globally. It emerged as one of the earliest major BNPL markets outside Europe following Affirm's launch in 2012, which introduced point-of-sale installment financing directly into online checkout experiences. The market subsequently expanded with the entry of providers including Afterpay, Klarna, Zip, Splitit, Sezzle, and PayPal, helping normalize installment-based payments across e-commerce. Today, Affirm, Afterpay, Klarna, and PayPal account for approximately 70–75% of U.S. BNPL credit issuance, while Sezzle and Zip remain established participants.

The U.S. market has since evolved into one of the most developed BNPL ecosystems globally, driven by high e-commerce penetration, advanced digital payment infrastructure, and growing demand for flexible credit. User adoption nearly doubled from 49.2 million in 2021 to an estimated 91.5 million in 2025, and the country now accounts for around 40–45% of global BNPL activity.

According to 2026 LendingTree and JD Power studies, BNPL has reached mainstream adoption in the U.S., with 53% of adults having used the service. Millennials and Gen Z continue to dominate usage, though adoption among Gen X continues to grow. The average transaction value is approximately \$180, while 62% of users report making multiple BNPL purchases within the previous three months. Usage is also expanding beyond discretionary spending, with 45% of users utilizing BNPL for essentials such as groceries and everyday purchases.

User behavior underpins BNPL's dual role for BNPL as both a convenience tool and a liquidity management mechanism. While 31% of users cite spreading payments over time as their primary motivation and 29% say BNPL was the only way they could afford a purchase, 37% use it to manage cash flow and 22% report financial stress related to repayments. Despite these concerns, consumer satisfaction remains high at approximately 798/1000, driven largely by checkout simplicity and

repayment transparency. A notable characteristic of the U.S. market is the overlap between BNPL and traditional credit usage, with BNPL users maintaining significantly higher credit card utilization rates (60–66%) than non-users (34%), suggesting that BNPL increasingly complements rather than replaces existing credit products.



BNPL Global Expansion

Consumer uptake of BNPL solutions continues to rise steadily across developed and emerging markets. In Australia, AfterPay rolled out its widely adopted “Pay-in-Four” model in 2014, gaining popularity among younger consumers seeking interest-free, flexible payments. Zip also emerged during this period, driving early competition and innovation.

Buy Now, Pay Later adoption gained traction in Europe on the back of Klarna’s early success. This pay-over-time financing expanded from the Nordics (Sweden, Norway, Denmark, Finland) into Western Europe, including the UK, Germany, France, Belgium, and the Netherlands, and further into Spain and Italy. While Klarna remains dominant, regional competition has grown, with Clearpay and PayPal Pay Later active in the UK, Riverty and Ratepay in Germany, Scalapay and Alma across Italy and France, and SeQura and Aplazame in Spain. The region has become a major BNPL hub, supported by strong digital retail penetration and mature e-commerce infrastructure.

BNPL is among the fastest-growing segments in Latin America, expanding across Argentina, Brazil, Mexico, Colombia, and Chile. Mercado Pago has led early adoption, operating in more than ten countries, alongside Koin, Creditas, Kueski Pay, Nubank, RappiPay, Addi, and Aplazo. In Asia, growth is driven by ecosystem-led platforms. China is dominated by Huabei, WeChat Pay, and JD Baitiao, while Grab PayLater and Atome lead in Southeast Asia through super-app ecosystems. Tabby and Tamara have been spearheading BNPL adoption in the Middle East, while Payflex, CredPal, M-KOPA, PayJustNow, MNT-Halan, and Mobicred are gaining widespread acceptance among consumers in Africa.

Rising Competition Between Established BNPL Fintechs & Major US Banks

Affirm, Afterpay, Klarna, and PayPal continue to dominate the U.S. BNPL market, but despite the domination of the 'Big Four' the space is getting more crowded as major U.S. banks such as JP Morgan Chase, Citigroup, Bank of America, Capital One, U.S. Bank, and American Express roll out “pay-over-time” options across credit and debit products.

Established BNPL fintechs are also throwing a challenge to major U.S. banks by expanding beyond point-of-sale financing and are adding savings features, cards, and broader credit tools that increasingly resemble traditional banking. What was once a fintech-led disruption has now matured into a competitive overlap, where banks and BNPL providers are increasingly converging on similar product innovations. This growing convergence is blurring boundaries, positioning fintechs and banks as parallel players in the same consumer credit ecosystem.

BNPL vs Traditional Credit Cards

The emergence of the Buy Now, Pay Later had sparked a debate over whether this pay-over-time model would pose an existential threat to traditional credit cards. But over time, it has become clear that one is not replacing the other. Both BNPL and credit cards function as complementary credit layers rather than direct substitutes, operating at different points in the payment journey. BNPL is emerging more as a secondary financing option and is leveraged by consumers when they approach credit limits, avoid revolving balances, or prefer fixed, predictable repayments. This has created a usage pattern where credit cards remain the primary spending tool, while BNPL is used as a backup for additional spending within the same cycle.

Key BNPL Products and Business Models

The BNPL ecosystem has evolved into a multi-layered financial model, with products and monetization strategies tailored to consumer and merchant needs. Broadly categorized as point-of-sale, app-based, and embedded BNPL, these solutions differ in integration, delivery, and risk models. All models offer short-term installment credit, but providers vary in how they execute and manage it.

1. Point-of-Sale (POS) BNPL

Point-of-Sale BNPL is the most widely used model and is embedded directly into checkout flows online or in-store, allowing consumers to split payments instantly at purchase. It is highly conversion-driven and frictionless, with providers like Afterpay and Klarna integrating via APIs or plugins to boost merchant sales and streamline adoption.

2. App-Based BNPL

App-based BNPL operates through standalone mobile apps where users manage credit, browse merchants, and initiate installment payments. This model offers BNPL providers with greater control over user engagement, credit assessment, and personalization, often emphasizing transparency and credit-building features.

3. Embedded BNPL

Embedded BNPL is the most advanced model, seamlessly integrated into super apps, wallets, or e-commerce platforms, eliminating the need for separate onboarding. BNPL providers like Tabby embed installment options within payment journeys, delivering instant, context-driven credit at the point of need, boosting convenience, and driving repeat usage through ecosystem stickiness.

Revenue Models in BNPL

BNPL providers typically rely on a hybrid monetization structure:

- ❖ **Merchant Fees (Primary Revenue Source):** Merchants pay a transaction fee (typically a percentage of the purchase value) in exchange for higher conversion rates, increased average order value, and reduced cart abandonment.

- ❖ **Interest Income (Selective Models):** Some providers, such as Affirm, charge interest on longer-term installment plans, especially for higher-ticket purchases.
- ❖ **Late Fees & Penalties:** Many BNPL providers generate additional revenue from late payments, although regulatory scrutiny is increasingly limiting excessive fee structures in mature markets.

This merchant-centric revenue model distinguishes BNPL from traditional credit cards, which rely heavily on consumer interest charges and revolving debt.

Typical Installment Structures

BNPL repayment models vary depending on risk appetite, geography, and merchant agreements:

- ❖ **Interest-Free Installments (Most Common):** Typically structured as “Pay-in-3” or “Pay-in-4”, where payments are split into equal installments over 6–8 weeks. Providers such as Klarna, Afterpay, and Tabby primarily use this model.
- ❖ **Interest-Bearing Installments:** Used for higher-value purchases or longer repayment periods, generally ranging from 3 to 36 months. Interest is applied based on the consumer’s credit profile and loan term. Providers like Affirm exemplify this approach, blending BNPL convenience with traditional installment lending.
- ❖ **Hybrid Models:** Some providers combine short-term, interest-free options with longer-term, interest-bearing plans, tailoring the repayment method to transaction size and consumer profile. This flexibility allows providers to serve a wider range of purchasing needs.



BNPL Mergers & Acquisitions

Zip Acquires QuadPay – 2020

- ❖ Expanded into the U.S. market with QuadPay rebranded as Zip.
- ❖ Created a unified, global BNPL platform under a single brand.
- ❖ Boosted merchant partnerships and strengthened competitive positioning against Klarna, Afterpay, and Affirm.

Block Acquires Afterpay – 2021

- ❖ \$29B acquisition integrated BNPL capabilities into Cash App and Block's broader merchant ecosystem.
- ❖ Expanded consumer credit offerings and strengthened e-commerce financing capabilities.
- ❖ Positioned Block as a full-scale digital payments and financial services platform.

PayPal Acquires Paidy – 2021

- ❖ \$2.7B acquisition extended PayPal’s reach into Japan and Asia’s rapidly growing e-commerce market.
- ❖ Gained access to local merchant networks and Paidy’s “Pay in 3” installment model.
- ❖ Positioned PayPal to compete globally in BNPL leveraging local expertise.

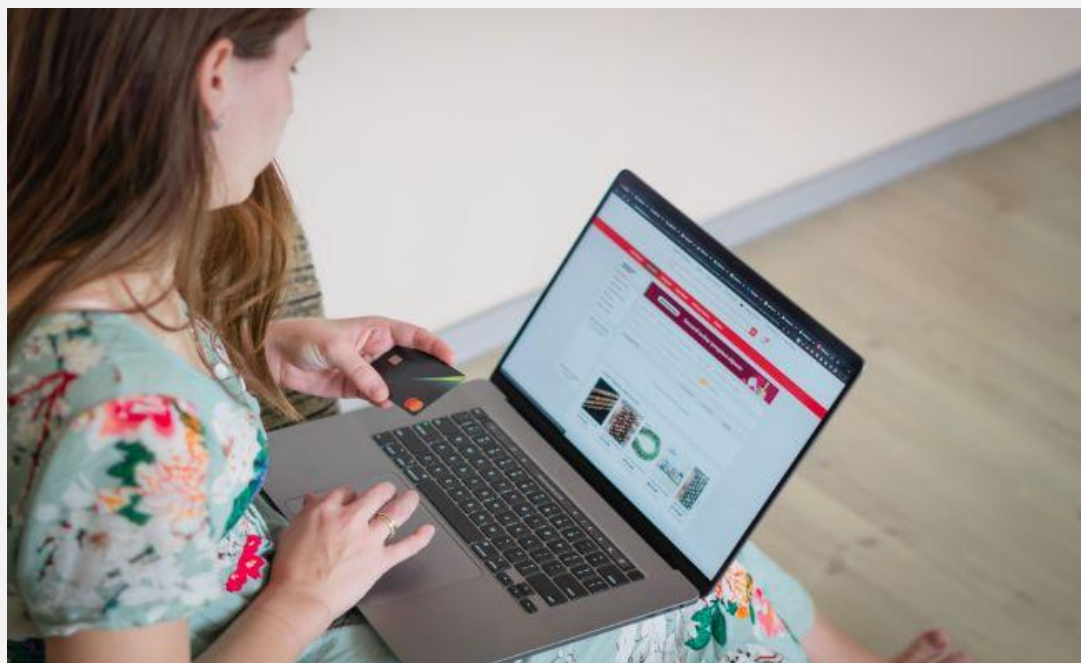
Zip’s Acquisitions & Strategic Investments (2021–2022)

- ❖ Entered underpenetrated markets in the Middle East with the acquisition of Spotii, a UAE-based BNPL fintech in 2021 to accelerate its expansion into the Middle East market.
- ❖ Strengthened European presence via the acquisition of Twisto (Czech Republic) in 2022.
- ❖ Acquired a stake in PayJustNow, a leading South Africa-based BNPL provider, to beef up its presence in the African market.
- ❖ Subsequently shifted strategy toward consolidation, refocusing on core markets in Australia and the U.S. while scaling back international expansion.

Evolving Regulatory Landscape for BNPL

The regulatory environment for Buy Now, Pay Later (BNPL) is evolving rapidly as governments and financial authorities globally reassess how short-term installment credit should be classified and governed. Originally positioned as a lighter alternative to traditional credit cards, BNPL operated with limited regulation. However, growing adoption and consumer exposure have prompted regulators to introduce stricter rules, clearer disclosures, and closer alignment with traditional credit frameworks.

In the U.S., a 2024 Consumer Financial Protection Bureau (CFPB) interpretation brought BNPL under the Truth in Lending Act (TILA), requiring providers to meet disclosure and consumer protection standards similar to other credit products. Despite this shift, many BNPL providers remain cautious about reporting customer repayment data to credit bureaus over concerns that reporting could negatively affect consumers’ credit profiles, especially if delinquencies trigger penalties or lower credit scores. This underscores a key regulatory challenge: balancing consumer protection, responsible lending, and transparency in a fast-growing digital market.



The regulatory oversight is more structured in Europe and is increasingly treated as regulated credit under consumer finance directives. Countries such as the United Kingdom, Germany, and France are moving toward classifying BNPL as regulated credit, requiring affordability checks, standardized disclosures, and robust consumer rights protections. The UK has been particularly proactive, integrating BNPL into formal credit frameworks to ensure consistency with existing lending laws.

Australia is one of the most mature BNPL markets globally, where regulators have redefined BNPL as a regulated credit product, bringing it under the ambit of the National Consumer Credit Protection regime, require licensing, responsible lending obligations, and enhanced consumer safeguards, signaling a shift from the earlier light-touch oversight reflecting the sector's scale and systemic importance.

Regulatory approaches for BNPL remain fragmented in Asia and the Middle East. China regulates installment credit through broader fintech frameworks, while Southeast Asia and the GCC continue to favor flexible frameworks to spur innovation, though tighter regulation may follow as adoption rises. The regulatory landscape remains nascent in Latin America and Africa. BNPL is largely governed by general fintech or lending rules, supporting rapid growth but raising concerns over consumer protection, credit reporting, and systemic risk.

The BNPL regulatory environment is transitioning from a fragmented, innovation-friendly landscape toward structured, credit-aligned frameworks. This evolution is reshaping product design, underwriting standards, disclosures, and consumer protections, ultimately integrating BNPL more fully into the broader financial system while promoting transparency and accountability.

Key Challenges for the BNPL Industry

Regulatory Uncertainty and Evolving Compliance Frameworks

Regulatory uncertainty remains one of the most significant structural challenges for the BNPL industry, as policymakers across the U.S., UK, EU, and Australia move toward tighter oversight of short-term installment credit. The absence of a harmonized global framework creates operational complexity for providers active across multiple jurisdictions, particularly around disclosure standards, licensing requirements, and consumer protection rules. As BNPL continues to converge with traditional credit products, evolving regulation is expected to directly influence product design, underwriting practices, and market expansion strategies.

Rising Credit Risk and Fragmented Consumer Debt Exposure

Credit risk is increasing as BNPL adoption expands across a broadening consumer base, particularly younger users with limited financial buffers. A key structural issue is the fragmentation of debt across multiple BNPL providers, which reduces visibility into total consumer obligations. This can lead to repayment strain, missed payments, and rising over-indebtedness, especially among users managing several concurrent installment plans. Strengthening credit visibility and improving cross-provider risk assessment remain ongoing industry challenges.



Margin Compression and Merchant Fee Dependency Pressures

The BNPL business model remains heavily reliant on merchant discount fees, making profitability sensitive to competitive dynamics. As more providers enter the market, pricing pressure on merchant fees has intensified, while larger retailers and payment platforms continue to strengthen their bargaining power. This creates structural margin compression, forcing providers to scale rapidly or diversify revenue streams while maintaining credit quality and growth.

Operational Scalability and Infrastructure Complexity

BNPL providers face significant operational complexity due to the need for real-time credit decisioning, fraud prevention, and seamless checkout integration across diverse merchant ecosystems. As the industry expands globally, maintaining low-latency approvals, system reliability, and regulatory compliance across multiple markets becomes increasingly challenging. Continuous investment in data infrastructure, artificial intelligence, and risk analytics is critical to sustaining scalability and performance.

Consumer Awareness Gaps and Growing Transparency Risk

Consumer understanding of BNPL products remains uneven, particularly around repayment schedules, late fees, and potential credit implications. This creates a gap between perceived simplicity at checkout and actual financial obligations over time. Recent studies highlight that transparency and clear communication are key drivers

of trust and satisfaction. As a result, providers face increasing pressure to improve financial education, enhance disclosure clarity, and manage reputational risk in an environment of rising regulatory scrutiny.

Future of BNPL

Buy Now, Pay Later (BNPL) has evolved from a niche retail checkout option into a rapidly expanding, digitally embedded credit solution. Adoption continues to grow across both developed and emerging markets, driven by tech-savvy consumers, broad merchant integration, and innovations in embedded finance.

Looking ahead, BNPL is set to move beyond e-commerce into high-value and essential spending areas such as healthcare, travel, education, and business services. Its integration with digital wallets, super apps, and open banking will further blur the lines between payments, lending, and financial management.

Key industry trends are being shaped by tightening regulation, advanced risk intelligence, AI-driven underwriting, profitability and consolidation pressures, and an increasing focus on consumer transparency and financial wellness. BNPL providers that successfully balance scale with sustainability, and responsible practices would be well positioned to lead the market, establishing BNPL as a core component of the modern financial ecosystem.